

At the end of this period, and upon the first sign of real prosperity, these men begin to sell, although many of them continue to talk optimistically so that the public will buy. In other words, the distributing process commences, lasting for one or more years, during which time the leaders are all talking optimistically, the banks are loaning money at low rates, and the corporations are raising their dividends. Nevertheless, fundamental conditions are no longer improving, and these men who study fundamental rather than surface conditions are rapidly selling all of their stocks; in fact, even the money received from the sale of these stocks is loaned on the Street to enable the public to buy stocks more easily.

Then, when the public has absorbed all of the stocks possible and surface conditions are so bright that the ordinary speculator is anticipating no trouble — although fundamental conditions are, of course, unsatisfactory — the word is passed around to “pull the plug.” Stocks then begin to tumble and almost every one suddenly becomes pessimistic, banks begin to call loans, corporations reduce dividends and everything is done to force the sale of stocks and cause low quotations. This method of depressing the market is continued for one or more years until fundamental conditions begin to improve, when the accumulating process above mentioned is again commenced, although business, so far as surface conditions show, is still very much depressed.

In short, these men, constantly studying fundamental conditions, enter the market once in every few years to buy or sell according to what these fundamental conditions indicate. After purchasing stocks they hold them for a year or so, selling out when the public begins to buy, and loaning money to the public for a year or more thereafter to make said purchasing easier. When they have sold all of their previous holdings and also are heavily short of the market — while banks, merchants and investors are overextended and fundamental conditions are becoming unsound — they suddenly change their attitude, begin to talk pessimistically and do all